

Submission MICRO1-PS2-SUB06

Question MICRO1-PS2-Q01

notation changes halfway:

1. $33 - 4P \approx 7 + P \Rightarrow P^* \approx (33 - 7)/(4 + 1) \approx 5.20$

2. $Q^* \approx 33 - 4(5.20) \approx 12.20$

3. substitution gives $Q_d \approx Q_s$

marks, subscripts, and units are mixed up

result written as: $P^* = 5.20$, $Q^* = 12.20$ (please interpret)

Question MICRO1-PS2-Q02

notation changes halfway:

1. $\% \Delta Q \approx -3/28.5$

2. $\% \Delta P \approx 0.0952$

3. $E \approx -1.11$; $|E| > 1$ (elastic)

marks, subscripts, and units are mixed up

result written as: elasticity = -1.11; elastic (please interpret)

Question MICRO1-PS2-Q03

notation changes halfway:

1. Shift the wedge between buyer and seller prices by t .

2. Quantity falls relative to equilibrium.

3. The lost mutually beneficial trades create a positive deadweight-loss triangle.

marks, subscripts, and units are mixed up

result written as: buyer price minus seller price equals tax; quantity falls; deadweight loss increases (please interpret)

Question MICRO1-PS2-Q04

notation changes halfway:

1. $SMC \approx PMC + \text{marginal external cost}$, so SMC lies above PMC.

2. A Pigouvian tax equal to marginal external cost aligns private and social incentives.

marks, subscripts, and units are mixed up

result written as: social MC above private MC; Pigouvian tax can internalize the external cost (please interpret)

Question MICRO1-PS2-Q05

notation changes halfway:

1. At the ceiling, Q_d exceeds Q_s .

2. Shortage $\approx Q_d - Q_s$; queues or rationing allocate the scarce quantity.

marks, subscripts, and units are mixed up

result written as: $Q_d > Q_s$ creates a shortage; queues/rationing may allocate units (please interpret)

Question MICRO1-PS2-Q06

notation changes halfway:

1. $41 - 2P \approx 7 + P \Rightarrow P^* \approx (41 - 7)/(2 + 1) \approx 11.33$

2. $Q^* \approx 41 - 2(11.33) \approx 18.33$

3. substitution gives $Q_d \approx Q_s$

marks, subscripts, and units are mixed up

result written as: $P^*=11.33$, $Q^*=18.33$ (please interpret)

Question MICRO1-PS2-Q07

notation changes halfway:

1. $\% \Delta Q \approx -4/38.0$

2. $\% \Delta P \approx 0.0952$

3. $E \approx -1.11$; $|E| > 1$ (elastic)

marks, subscripts, and units are mixed up

result written as: elasticity=-1.11; elastic (please interpret)

Question MICRO1-PS2-Q08

notation changes halfway:

1. Shift the wedge between buyer and seller prices by t .

2. Quantity falls relative to equilibrium.

3. The lost mutually beneficial trades create a positive deadweight-loss triangle.

marks, subscripts, and units are mixed up

result written as: buyer price minus seller price equals tax; quantity falls; deadweight loss increases (please interpret)